3.9 Interest on loan from partners

Sometimes, a partner may provide loan or advance to the firm. In such cases, partner's loan or advance account is to be separately maintained in the books. The partners are entitled to interest on the loan or advance at the rate agreed by them. If there is no such agreement, the partners are entitled to an interest at the rate of 6 per cent per annum [Section 13(d) of the Indian Partnership Act, 1932]. The following journal entries are to be made in the books of the firm:

(a) For providing interest on partner's loan

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Interest on partner's loan A/c	Dr.		xxx	
	To Partner's loan A/c				xxx

Note: Interest on partner's loan being an expense to the firm is debited in firm's books. Interest on loan is due to the partner and it is generally added to the loan amount due and hence partner's loan account is credited.

(b) For closing interest on partner's loan account

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Profit and loss A/c	Dr.		xxx	
	To Interest on partner's loan A/c				xxx

Tutorial note: Interest on partners' loan is a charge against profit, that is, whether there is profit or loss for the firm, this interest is to be provided. Hence, interest on partners' loan is transferred to profit and loss account.

3.10 Division of profits among partners

The net profit as per the profit and loss account of a firm is subject to the adjustment of interest on capital, interest on drawings, etc. These adjustments are made by preparing a profit and loss appropriation account. The resultant profit of the firm being the balance in the profit and loss appropriation account is to be divided among the partners according to their profit sharing ratio. In the absence of profit sharing ratio, profit is divided among the partners equally. The following is the journal entry to be passed in the books for the division of profit among the partners.

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Profit and loss appropriation A/c	Dr.		xxx	
	To Partner's capital/current A/c				xxx

Note: If there is a loss, the reverse entry is made.

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